

Japan Semiconductors

SoftBank Group Corp

Rating

Outperform

Price Target

📈 **9984.JP**

11,100 JPY (11,200 OLD)



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SoftBank 1Q FY27/3: Record high NAV validates the AI investment strategy

SoftBank Group's solid Q1 results reinforce the value creation in SoftBank's AI asset base, while attention is turning beyond investing into funding and execution. We like SoftBank's strategy and reiterate Outperform, PT set at ¥11,100.

Big jump on NAV proving the value of a solid investment portfolio. Reported NAV jumped from ¥40.1tn last quarter to a record ¥72.3tn, and LTV fell to 13% at June end. Management subsequently indicated a pro-forma NAV of about ¥58.3tn as of August 5, still delivering robust results. This still implies meaningful headroom versus the company's 25% LTV policy threshold even though management didn't provide a pro-forma LTV.

Arm remains the fundamental growth asset, with data-center CPU adoption and the transition into chip products broadening the upside case, and contributed ~60% of NAV as of quarter-end. As discussed in [Arm Q1 FY27 earnings](#), there is significant upside to Arm's share price given the structural CPU growth with agentic AI. The key Arm CPU upside debate is now supply-driven instead of demand.

OpenAI remains the largest single source of NAV upside and financing requirement.

SoftBank completed a US\$10bn follow-on investment in April and a further US\$10bn in July, with a final US\$10bn tranche planned for October. Upon completion, cumulative investment is expected to reach US\$64.6bn for an ~13% ownership stake. At June end, cumulative OpenAI investment was US\$44.6bn and fair value was US\$89.6bn. Management characterized OpenAI as a partner rather than merely a financial investment, and said it intends to concentrate behind that relationship rather than invest in competing foundation-model providers. This strengthens strategic alignment across SoftBank's infrastructure, Arm and enterprise initiatives, but increases concentration risk in a private asset whose valuation, monetization timing and IPO timetable remain outside SoftBank's control.

Strong investment gains from Intel and ByteDance. The holding-company investment segment recorded ¥1,382bn of investment gains, including a ¥1,333bn gain on Intel shares following an increase in the share price. The consolidated Vision Fund investment gain was ¥460bn, driven mainly by a US\$2.2bn increase in ByteDance fair value, *(to be continued)*

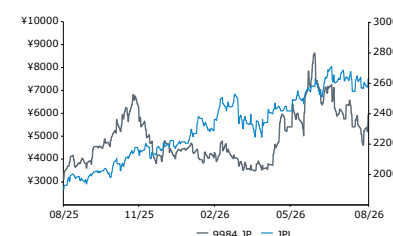
Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
9984.JP (JPY)	872.47	204.81	161.94	Reported EPS	872.47	204.81	161.94	--	Adjusted P/E (x)	6.5	27.8	35.2
OLD	--	282.49	159.10	Revenues (M)	7,799*	8,528*	8,815*	--	EV/EBIT (x)	8.2	14.4	18.3
				EBIT (M)	7,282*	4,139*	3,258*	(33.1)%				

*Values shown in billions; Source: Bloomberg, Bernstein estimates and analysis.

Close Date	6 Aug 2026
9984.JP Close Price (JPY)	5,695.00
Price Target (JPY)	11,100
Upside/(Downside)	95%
52-Week Range	9,074.00/3,116.25
JPL	2,626.77
FYE	Mar
Div Yield	0.2%
Market Cap (JPY) (B)	32,528.98
EV (JPY) (B)	59,517.23
Performance	YTD 1M 6M 12M
Absolute (%)	29.4 (1.3) 42.4 81.4
JPL (%)	19.1 (2.1) 9.9 38.8
Relative (%)	10.4 0.7 32.5 42.6

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



despite a loss of ¥80.1bn in SVF2, reflecting weaker positions of PayPay and Symbotic. Since inception, SVF1 has generated US\$26.6bn of gross gains on US\$87.2bn invested and SVF2 has generated US\$21.3bn on US\$109.8bn invested.

SB Energy is central to the data-center strategy, but management preserved

flexibility over its role. SB Energy has raised cumulative project financing of approximately US\$19bn and has about 5GW of generation and storage capacity in operation or under construction. On the call, management suggested SB Energy could either lead projects or not be directly involved, while also clarifying that “Stargate” is now a broader scope between SoftBank, Oracle and OpenAI. The resulting structure is strategically flexible but currently lacks sufficient clarity on ownership, capex responsibility, economics and recourse. The 5GW French data-center project is strategically attractive, with the first phase targeting 3.1GW by 2031 and €45bn of investment. Management emphasized that the Bosc-le-Hard project has fast-track status and secured access to 1GW of power, while Schneider Electric is expected to support the AI data-center power-module supply chain. The Ohio 10GW project negotiations with prospective long-term offtakers are ongoing and construction is targeted to begin during FY26. Texas’ Milam County project appears more advanced than Ohio, already having a long-term lease agreement with OpenAI and that construction of the first building is progressing. **SB Neo Cloud** is still conceptually separate from specific data-center assets. Management stressed that it is not synonymous with the Ohio/PORTS project, and indicated a 10GW ambition but did not commit that Ohio or Texas capacity will feed the service. **Physical AI** is a credible long-duration option, with the next phase centered on ABB Robotics integration story. Management expects the ABB Robotics acquisition to close within FY26, subject to global regulatory approvals, and views ABB’s installed base, operating infrastructure and service capability as a way to accelerate commercialization across SoftBank’s broader robotics portfolio.

Reported leverage is conservative, but the funding calendar is now the central investor issue. June-end LTV of 13% and ¥2.3tn of liquidity compare favorably with SoftBank’s sub-25% LTV policy and roughly ¥1.5tn of bond maturities over the next two years. However, the balance sheet must simultaneously support the remaining US\$10bn OpenAI commitment, the US\$5.4bn ABB Robotics closing payment, the US\$3.1bn DigitalBridge payment and potentially substantial AI-infrastructure capex. SoftBank had US\$16.4bn outstanding at June-end under the US\$40bn bridge facility, and the subsequent July US\$10bn draw for OpenAI raises the facility’s relevance. The debt schedule shows ¥4,295bn of bridge-loan repayments in FY27/3, equivalent to the facility’s March 2027 maturity profile. Management identified multiple refinancing routes: syndicated bank debt, bond issuance, asset-backed financing, and potential asset sales. SoftBank issued foreign-currency senior notes, domestic hybrid bonds, and ¥90bn of domestic straight bonds after quarter end. The company also arranged US\$1.75bn-equivalent non-recourse LBO financing for the ABB Robotics acquisition. Separately, Vision Fund (SVF) 2 entered into a US\$10bn loan agreement using OpenAI shares, with SoftBank as guarantor and SVF2 as lender. Management clarified that the OpenAI shares themselves were not posted as collateral in the SoftBank-level US\$10bn financing. Arm remains the most clearly monetizable financing asset, with ¥3,221bn non-recourse margin loan backed by Arm shares and a ¥1,197bn non-recourse margin loan backed by SoftBank Corp. shares. Intel adds another source of optionality.

Reiterate Outperform. We adjust the model and valuation (including incorporating our latest PT for Arm). Based on a 30% NAV discount (Exhibit 1), we set SoftBank Group PT at ¥11,100, implying 95% upside as of August 6. [Download our updated model here.](#)

Investment Implications

We rate SoftBank **Outperform** with PT = **¥11,100**.

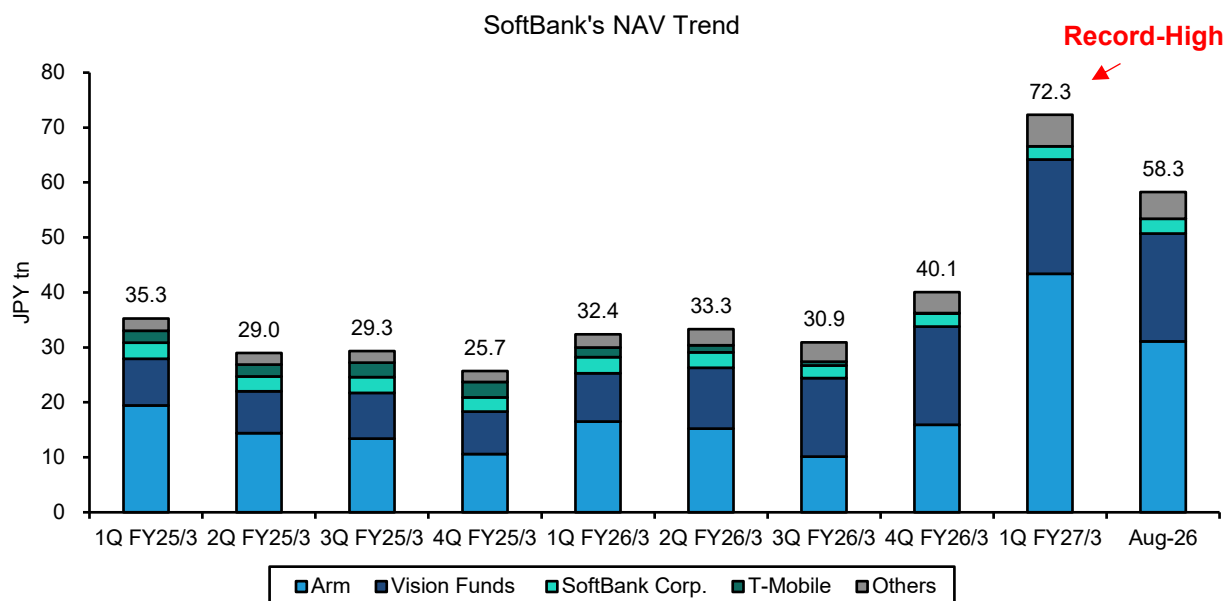
DETAILS

EXHIBIT 1: SoftBank Valuation Analysis

Softbank's 1-year NAV to valuation (USDbn)		
	Pro Forma	Current
Arm per share value (USD)	480.00	274.58
Share Count (mn)	1,052	1,052
Market cap (USD bn)	504,960	288,858
% holding	86.4%	86.4%
OpenAI Valuation (USD bn)	852	852
% holding	11.8%	11.8%
Future NAV (USD bn)		
Arm	436.3	249.6
OpenAI	100.6	100.6
Others	20.8	20.8
Total	557.7	371.0
Total (JPY tn)	90.4	60.2
Discount	30%	46%
Share Count (mn)	5,699	5,699
Target Price (JPY)	11,100	n.a.
Current Price (JPY)	5,695	5,695
Upside/Downside	95%	n.a.

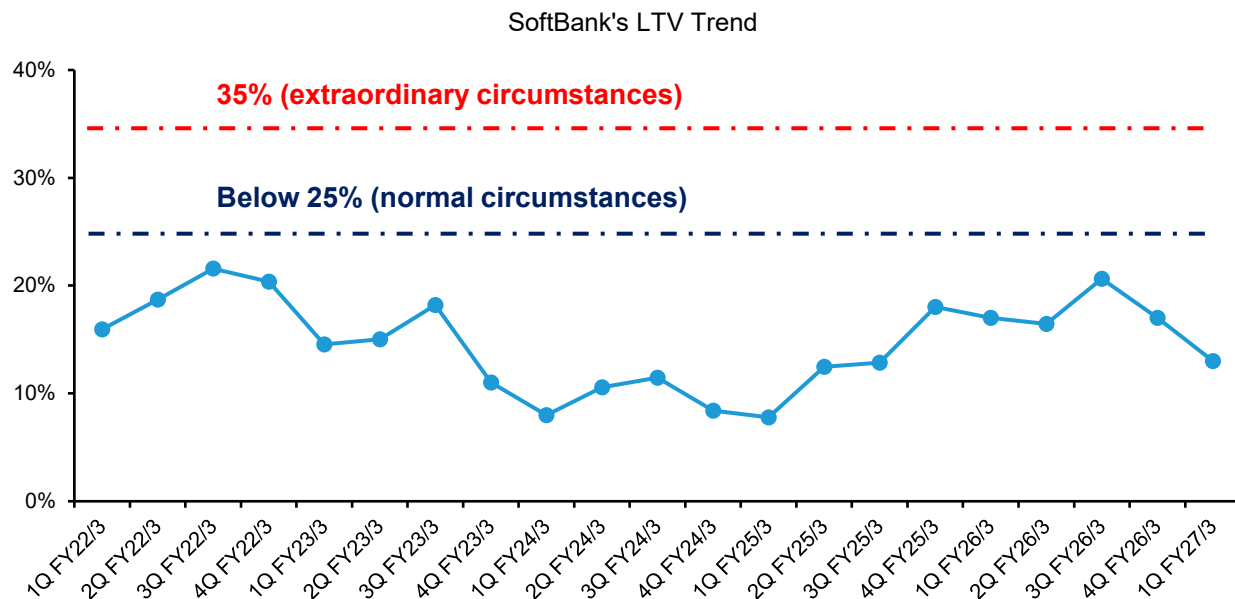
Share price as of 6th August 2026; Arm's share price as of 5th August 2026.
Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 2: SoftBank's LTV Trend: Reaching Record-High in 1Q FY27/3



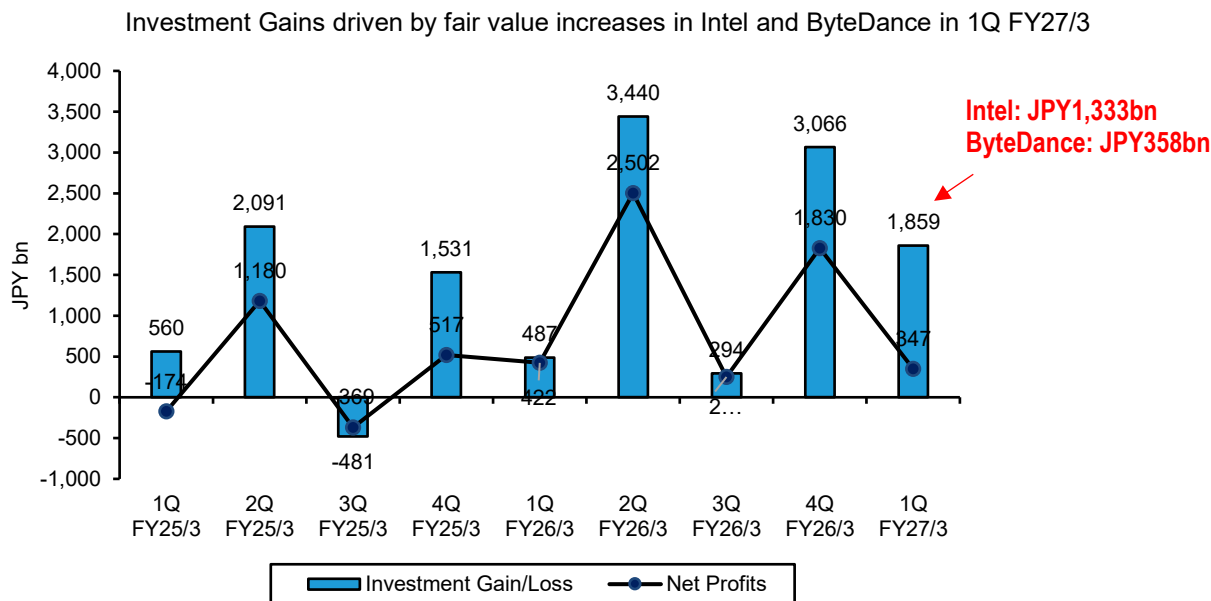
(1) "SoftBank Corps" refers to SoftBank Corp., the Group's telecommunications business (listed separately as 9434.JP; not covered); (2) Aug-26: as of 5th August, 2026.

Source: Company disclosures, Bernstein analysis.

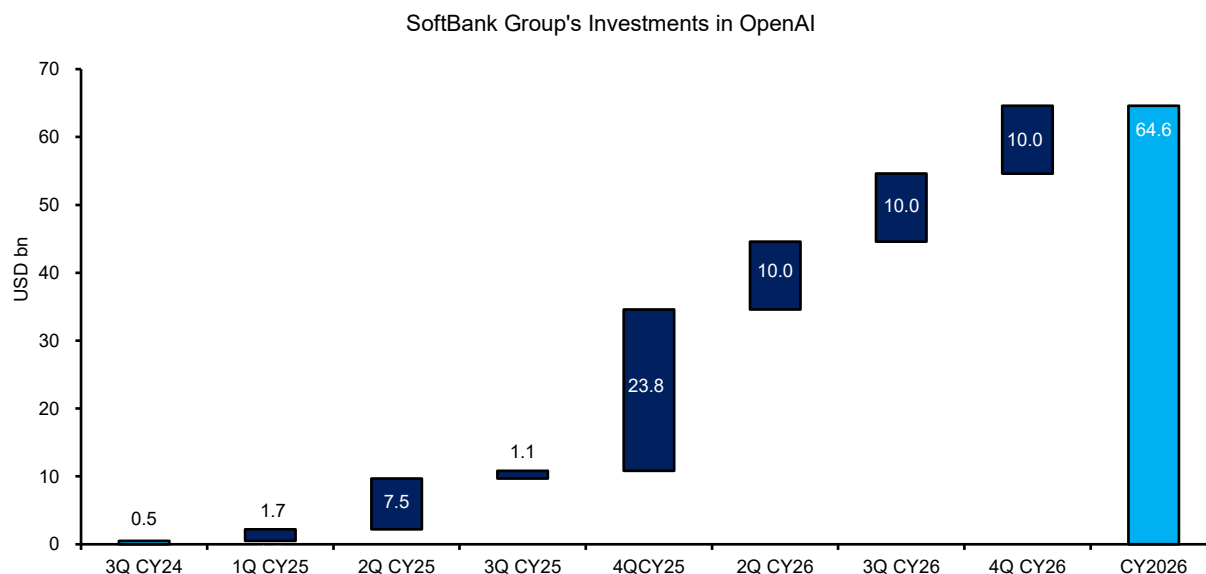
EXHIBIT 3: **SoftBank's LTV Trend: Decline in 1Q FY27/3 thanks to NAV growth**

LTV stands for loan to value.

Source: Company disclosures, Bernstein analysis.

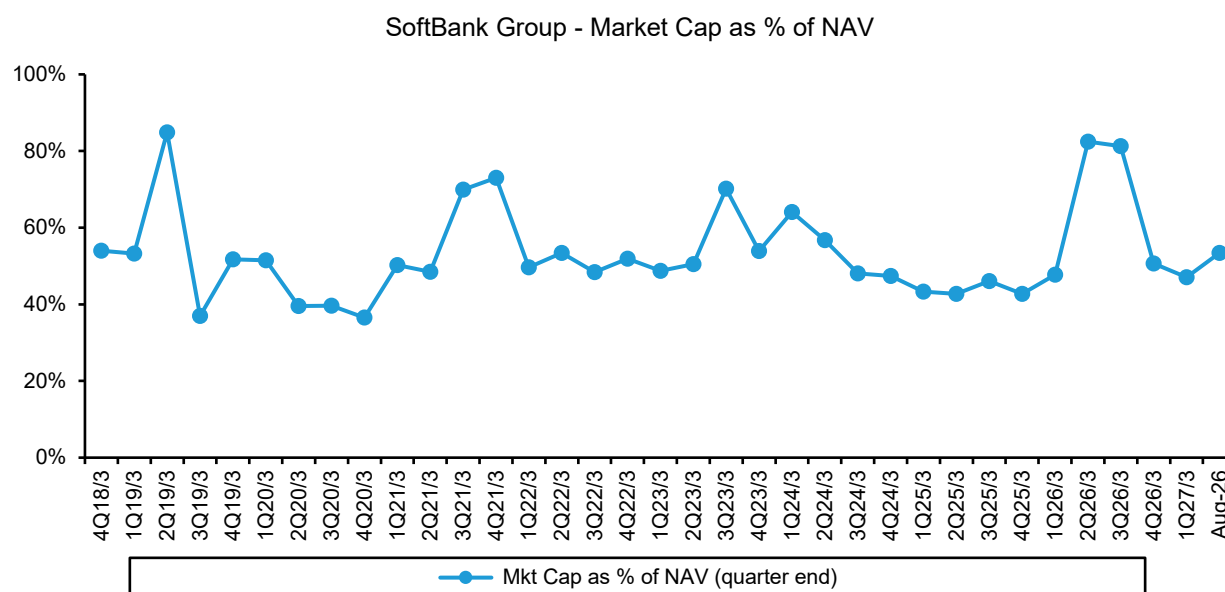
EXHIBIT 4: **SoftBank Group - Investment Gains and Net Profit Trend**

Source: Company disclosures, Bernstein analysis.

EXHIBIT 5: **SoftBank's Investments in OpenAI, reaching USD64.6bn by October 2026.**

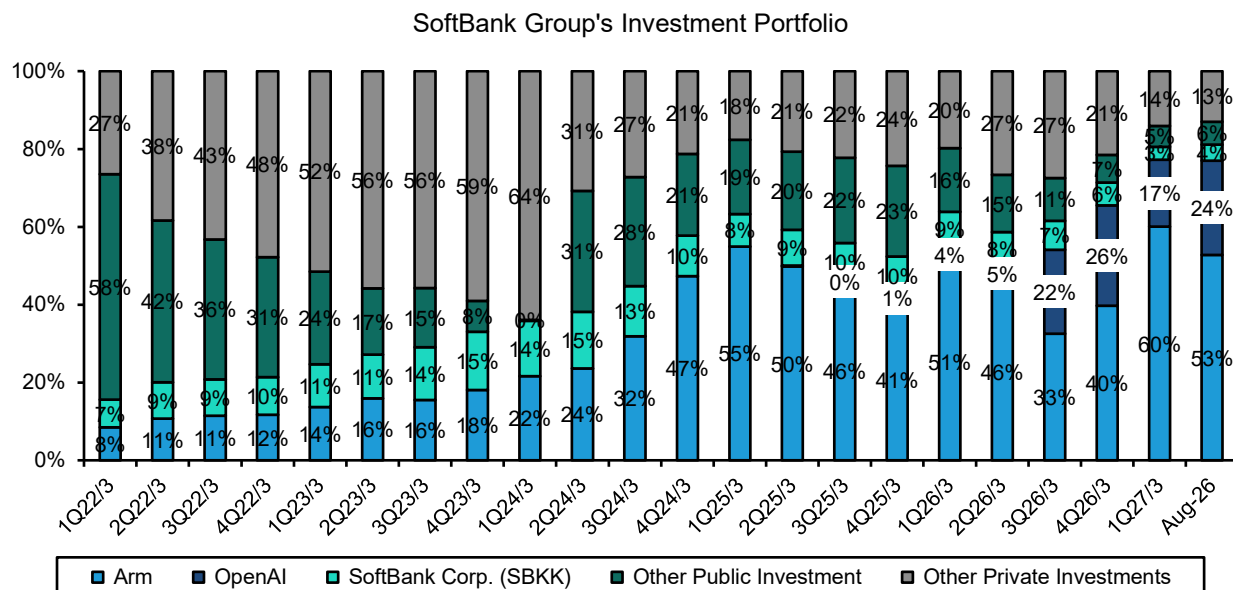
Confirmed investments only; excludes potential IPO investments.

Source: Company disclosures, Bernstein analysis.

EXHIBIT 6: **SoftBank Group - Market Cap as % of NAV**

As of 5th August, 2026

Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 7: **SoftBank Group's Investment Portfolio**As of 5th August, 2026

Source: Company disclosures, Bloomberg, Bernstein analysis.

EXHIBIT 8: **SoftBank: 1Q FY27/3 Results Summary**

SoftBank Group Q1 FY27/3 results		Actual	Delta	Growth YoY	
¥ bn		Q1 FY27/3	vs. Cons.	Actual	Cons.
Revenue	Actual	2,019.6	2.7%	10.9%	8.0%
	Bernstein	1,961.0			
	Consensus	1,966.6			
Gross profit	Actual	1,053.6	3.2%	10.4%	7.0%
	Bernstein	1,034.1			
	Consensus	1,021.1			
Gross margin	Actual	52.2%	0.2%	-0.3%	-0.5%
	Bernstein	52.7%			
	Consensus	51.9%			
Pretax profit	Actual	589.2	171.7%	-14.6%	-68.6%
	Bernstein	717.7			
	Consensus	216.8			
Pretax profit margin	Actual	29.2%	18.1%	-8.7%	-26.9%
	Bernstein	36.6%			
	Consensus	11.0%			
Net profit	Actual	347.3	109.5%	-17.7%	-60.7%
	Bernstein	513.1			
	Consensus	165.8			
Earnings per share (¥)	Actual	59.9	101.0%	-17.8%	-59.1%
	Bernstein	89.6			
	Consensus	29.8			

Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 9: **SoftBank: Summary of estimate changes**

SoftBank: summary of estimate changes	FY26/3	1Q27/3	2Q27/3E	3Q27/3E	4Q27/3E	FY27/3E	FY28/3E	FY29/3E
Revenue (JPY bn)								
Bernstein - Old	7,798.7	1,961.0	2,068.8	2,169.5	2,274.1	8,473.5	9,178.3	10,060.9
Growth YoY	7.7%	7.7%	7.9%	9.4%	9.4%	8.7%	8.3%	9.6%
Bernstein - New	7,798.7	2,019.6	2,078.1	2,186.1	2,244.6	8,528.3	8,815.3	10,271.3
Growth YoY	7.7%	10.9%	8.4%	10.3%	7.9%	9.4%	3.4%	16.5%
Consensus			2,017.6	2,110.5	2,265.9	8,339.5	8,915.5	9,585.2
Growth YoY			5.3%	6.5%	9.0%	6.9%	6.9%	7.5%
New vs. old			0.4%	0.8%	-1.3%	0.6%	-4.0%	2.1%
Bernstein vs. consensus			3.0%	3.6%	-0.9%	2.3%	-1.1%	7.2%
Pretax profit (JPY bn)								
Bernstein - Old	6,134.9	1,085.3	394.3	405.5	381.9	2,261.9	1,273.9	1,647.2
Growth YoY	259.9%	57.3%	-86.8%	-16.0%	-80.6%	-63.1%	-43.7%	29.3%
Margin	78.7%	55.3%	19.1%	18.7%	16.8%	26.7%	13.9%	16.4%
Bernstein - New	6,134.9	589.2	114.2	560.6	501.9	1,765.8	1,493.1	1,760.9
Growth YoY	259.9%	-14.6%	-96.2%	16.1%	-74.5%	-71.2%	-15.4%	17.9%
Margin	78.7%	29.2%	5.5%	25.6%	22.4%	20.7%	16.9%	17.1%
Consensus			247.5	427.8	218.7	1,648.0	1,583.4	1,496.0
Growth YoY			-91.7%	-11.4%	-88.9%	-73.1%	-3.9%	-5.5%
Margin			12.3%	20.3%	9.7%	19.8%	17.8%	15.6%
New vs. old			-71.0%	38.2%	31.4%	-21.9%	17.2%	6.9%
Bernstein vs. consensus			-53.8%	31.0%	129.5%	7.2%	-5.7%	17.7%
EPS (JPY)								
Bernstein - Old	872.5	135.4	49.1	50.5	47.5	282.5	152.4	205.7
Growth YoY	349.8%	85.9%	-88.8%	20.0%	-85.1%	-67.6%	-46.1%	35.0%
Bernstein - New	872.5	59.9	14.1	69.1	61.8	204.8	161.9	191.0
Growth YoY	349.8%	-17.8%	-96.8%	64.1%	-80.7%	-76.5%	-20.9%	17.9%
Consensus			20.5	30.4	28.5	193.7	188.8	138.1
Growth YoY			-95.3%	-27.9%	-91.1%	-77.8%	-2.5%	-26.9%
New vs. old			-71.3%	36.8%	30.2%	-27.5%	6.3%	-7.2%
Bernstein vs. consensus			-31.3%	127.5%	116.8%	5.8%	-14.2%	38.3%

Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	6 Aug 2026	Price	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
9984.JP (SoftBank)	O	JPY	5,695.00	11,100	42.6%	JPY	872.47	204.81	161.94	6.5	27.8	35.2
OLD				11,200				282.49	159.10			
JPL			2,626.77									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

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VALUATION METHODOLOGY**SoftBank Group Corp**

For SoftBank, we apply a 30% discount to our one-year forward net asset value (NAV) of \$557bn, with a USD/JPY of 162.14, to derive our PT of ¥11,100.

RISKS**SoftBank Group Corp**

Downside risks to our price target for SoftBank include: (1) lower-than-expected valuation for Arm, driven by slower growth in its emerging AGI CPU business and limited market share gains in the server CPU segment; (2) potential market share loss at OpenAI amid intensifying competition; (3) execution risk in OpenAI's monetization strategy, particularly its ability to scale revenues to offset rising operating expenses and computing costs; and (4) financial stability risks, including potential credit-rating downgrades, stemming from continued large-scale investments in OpenAI and other strategic initiatives.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

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Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

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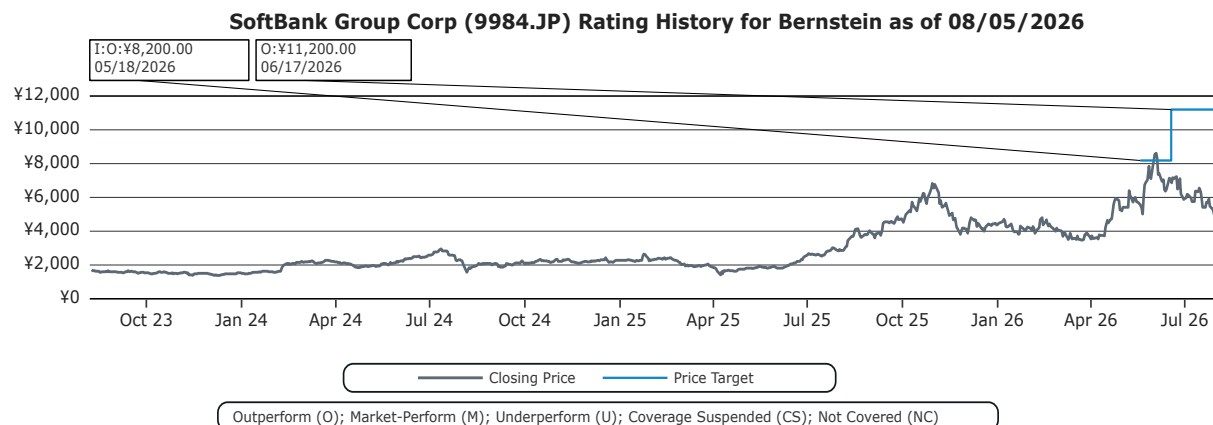
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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+41 Bernstein Autonomous LLP; Geneva, Switzerland

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